

Alphaville News

Inflation: the good, the bad and the ugly

... featuring rent, pets, and (obviously) car insurance



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Americans haven't seen headline inflation of 2 per cent and change in a long time.

OK, sure, the “change” in this case is almost an entire percentage point. But still, even 3 per cent annual headline inflation is nothing to scoff at.

If the trend continues, this could mean the Fed will raise rates just once more. Financial-market moves back up that view. The basics: Treasury yields are down, stocks are up, and the CME's FedWatch tool is pricing a lower probability of rates rising above 5.5 per cent by December's meeting.

So how do we ~~guess~~ gauge whether this deceleration will continue? It never hurts to look at the underlying data.

Bad news first: Shelter inflation was still pretty high in June, up 7.9 per cent from last year. And rent for primary residences climbed most, up 8.3 per cent in that time. The more [transitory TSwift Lift](#) was muted in comparison, with lodging away from home climbing ~5 per cent from last year. Rent inflation tends to be more persistent than goods and services for obvious reasons (annual contracts etc).

The good news: Used-car prices have started to decline, off 5.2 per cent from last year. Eggflation is over, with egg prices down almost 8 per cent. Gas prices are down more than 25 per cent (we love a good commodity price drop), and car rental prices are down 12 per cent. Airfare is down 19 per cent.

But the most interesting data in June's report may be . . .

The ugly stuff: Pet food is up 12 per cent from last year, and veterinarian costs are up 11 per cent.

[Car insurance costs are still on a tear](#), even though used-car prices have declined. [They're up nearly 17 per cent from a year ago](#), though the monthly jump of 1.7 per cent marks a . . . slight deceleration? (we guess?) from the prior month's 2-per-cent increase. Relatedly, motor-vehicle repair costs are up 20 per cent.

It isn't clear how much the pet-food inflation will persist. But that's a pretty wild price increase in motor-vehicle insurance and repair costs, and it isn't clear how transitory that is going to be.

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